

**Sir Syed University of Engineering & Technology**  
Department of Computer Science & Information Technology

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**HS-411 - Entrepreneurship**  
**Lecture No. 7**

**Competitive Analysis**

# List of Topic to be Discuss in this lecture

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1. What is Competitive Analysis?
2. Difference Between Direct and Indirect Competitors with Examples
3. How to Do a Competitive Analysis?
4. Competitive Analysis (Case Study)
5. What are the 3 C's in a competitive analysis?
6. Porter's Five Forces Strategic Model
7. SWOT Analysis

# What is Competitive Analysis?

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- A **competitor analysis**, also referred to as a competitive analysis, is the process of **identifying competitors** in your industry and researching their different **marketing strategies**.
- Competitors has **two** categories:
  - **Direct Competitor**
  - **Indirect Competitor**

# How to Do a Competitive Analysis

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- Determine who your competitors are.
- Determine what products your competitors offer.
- Research your competitors' sales tactics and results.
- Take a look at your competitors' pricing, as well as any perks(مراعات) they offer.
- Ensure you're meeting competitive shipping costs.
- Analyze how your competitors market their products.
- Take note of your competition's content strategy.
- Learn what technology stack your competitors use.
- Analyze the level of engagement on your competitors' content.
- Observe how they promote marketing content.
- Look at their social media presence, strategies, and go-to platforms.
- Perform a SWOT Analysis to learn their strengths, weaknesses, opportunities, and threats.

# Difference Between Direct and Indirect Competitors with Examples

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**Direct competitors** are businesses that offer similar products or services to the same target market. They often have similar pricing, features, and target the same customer needs. Direct competitors are typically easy to identify because they operate in the same industry and cater to the same customer base. For example:

- **Coca-Cola and PepsiCo:** Both companies produce soft drinks and compete directly for market share in the beverage industry.
- **McDonald's and Burger King:** These fast-food chains offer similar types of food and vie for customers in the same market segment.
- **Nike and Adidas:** Both are sportswear companies producing similar products, such as athletic shoes and apparel, and compete for customers in the sports industry.

# Difference Between Direct and Indirect Competitors with Examples

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**Indirect competitors**, on the other hand, offer different products or services but still compete for the same consumer dollars. While they may not offer identical solutions, they fulfill a similar need or serve the same purpose. Indirect competitors can be more challenging to identify because they may operate in different industries. Examples include:

- **Uber and public transportation:** While Uber provides ridesharing services, public transportation offers a different mode of transportation, but both compete for commuters' transportation needs.
- **Netflix and movie theaters:** Netflix offers streaming services for movies and TV shows, while movie theaters provide a physical location for watching films. Both compete for consumers' entertainment budgets.
- **Airbnb and hotels:** Airbnb offers accommodations through private rentals, while hotels offer traditional lodging options. However, both cater to travelers' accommodation needs.

# Competitive Analysis Example

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Let's take a look at popular gaming system companies **Sony** and **Nintendo**.

## 1. Determine who your competitors are.

- In our example, it's Sony vs Nintendo, but it's also worth considering Microsoft's Xbox, which occupies the same general market vertical.
- This is critical for effective analysis; even if you're focused on specific competitors and how they compare, it's worth considering other similar market offerings.

## 2. Determine what products your competitors offer.

- PlayStation offers two PS5 versions, digital and standard, at different price points, while Nintendo offers three versions of its console.
- Both companies also sell peripherals — for example, Sony sells virtual reality (VR) add-ons, while Nintendo sells gaming peripherals such as steering wheels, tennis rackets, and differing controller configurations.

# Competitive Analysis Example

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## 3. Research your competitors' sales tactics and results.

- When it comes to sales tactics and marketing, Sony and Nintendo have very different approaches.
- In part thanks to the recent semiconductor shortage, Sony has driven up demand via scarcity — very low volumes of PS5 consoles remain available. Nintendo, meanwhile, has adopted a broader approach by targeting families as its primary customer base.
- This effort is bolstered by the Switch Lite product line, which is smaller and less expensive, making it a popular choice for children.
- The numbers tell the tale: Through September 2021, Nintendo sold 14.3 million consoles, while Sony sold 7.8 million.



# Competitive Analysis Example

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## 4. Take a look at your competitors' pricing, as well as any perks they offer.

- Sony has the higher price point: Their standard PS5 sells for \$499, while Nintendo's most expensive offering comes in at \$349. Both offer robust digital marketplaces and the ability to easily download new games or services.
- Here, the key differentiators are flexibility and fidelity. The Switch is flexible users can dock it with their television and play it like a standard console or pick it up and take it anywhere as a handheld gaming system.
- The PS5, meanwhile, has superior graphics hardware and processing power for gamers who want the highest-fidelity experience.

# Competitive Analysis Example

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## 5. Analyze how your competitors market their products.

- If you compare the marketing efforts of Nintendo and Sony, the difference is immediately apparent: Sony's ads feature realistic in-game footage and speak to the exclusive nature of their game titles.
- The company has managed to secure deals with several high-profile game developers for exclusive access to new and existing IPs.
- Nintendo, meanwhile, uses brightly lit ads showing happy families playing together or children using their smaller Switches while traveling.

## 6. Analyze the level of engagement on your competitor's content.

- Engagement helps drive sales and encourage repeat purchases.
- While there are several ways to measure engagement, social media is one of the most straightforward: In general, more followers equates to more engagement and greater market impact.
- When it comes to our example, Sony enjoys a significant lead over Nintendo: While the official PlayStation Facebook page has 38 million followers, Nintendo has just 5 million.

# What are the 3 C's in a competitive analysis?

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The 3 C's refer to a strategic model that considers **three main factors** when understanding the broader business environment:

- **Company**: Understanding your own strengths, weaknesses, opportunities, and threats.
- **Customers**: Knowing who your target audience is, what they value, and how they behave.
- **Competitors**: Analyzing direct and indirect competitors to determine market dynamics and potential threats.

# Porter's Five Forces Strategic Model

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- ❑ The Five Forces Model was created by Harvard Business School professor, Michael Porter and was first published in 1979.
- ❑ Porter's Five Forces model, developed by Michael Porter, is a framework used to analyze the competitive forces that shape an industry, helping businesses understand their competitive environment and develop strategies to thrive within it.
- ❑ According to Porter, there are **five forces** that represent the key sources of competitive **pressure** within an **industry**. They are:
  1. Threat of New Entry
  2. Bargaining Power of Supplier
  3. Bargaining Power of Buyer
  4. Threat of Substitute Products or Services:
  5. Intensity of Competitive Rivalry

# Porter's Five Forces Strategic Model

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**Threat of New Entrants:** This force examines the ease with which new competitors can enter an industry. Factors such as barriers to entry, economies of scale, brand loyalty, and government regulations can affect the threat of new entrants.

**For example:**

The airline industry has high barriers to entry due to factors like high capital requirements, regulatory approvals, and the need for extensive infrastructure. This makes it difficult for new airlines to enter the market and compete with established players like Delta Air Lines or American Airlines.

**Bargaining Power of Suppliers:** This force assesses the influence that suppliers have over the industry in terms of pricing, quality, and availability of inputs. Industries where suppliers have significant power can exert pressure on profitability.

**For example:**

In the smartphone industry, companies like Apple and Samsung have significant bargaining power over their suppliers of components like processors and displays. This allows them to negotiate favorable terms and maintain control over product quality and pricing.

# Porter's Five Forces Strategic Model

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**Bargaining Power of Buyers:** This force examines the influence that customers have over the industry, particularly in terms of negotiating prices, demanding higher quality, or switching to alternative products. Industries with powerful buyers may face pressure to lower prices or improve offerings.

**For example:**

The retail industry experiences strong buyer power, as customers have many options and can easily compare prices and features online. Retailers like Walmart and Amazon must continuously innovate and offer competitive prices to attract and retain customers.

**Threat of Substitute Products or Services:** This force considers the availability of alternative products or services that could fulfill the same need as those offered by the industry. Industries with readily available substitutes may face challenges in retaining customers or maintaining pricing power.

**For example:**

The music industry has faced the threat of substitutes with the rise of digital streaming services like Spotify and Apple Music. These services offer convenient access to a vast library of music at affordable prices, posing a threat to traditional sales of physical CDs or downloads.

# Porter's Five Forces Strategic Model

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**Intensity of Competitive Rivalry:** This force assesses the level of competition among existing players in the industry. Factors such as the number of competitors, industry growth rate, differentiation of products, and exit barriers contribute to the intensity of rivalry.

**For example:**

The soft drink industry experiences intense competitive rivalry, with major players like Coca-Cola and PepsiCo constantly battling for market share through advertising, product innovation, and pricing strategies. This competition often leads to aggressive marketing campaigns and frequent product launches.

# SWOT Analysis

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- ❑ **SWOT analysis** is a strategic planning tool used to identify and evaluate the Strengths, Weaknesses, Opportunities, and Threats facing a business or project. It helps organizations understand their internal capabilities and external environment, enabling them to make informed decisions and develop effective strategies.
- ❑ By conducting a SWOT analysis, organizations can identify their key strengths and weaknesses and assess the external opportunities and threats they face. This analysis serves as a foundation for strategic planning, helping businesses capitalize on their strengths, address weaknesses, exploit opportunities, and mitigate threats to achieve their objectives and maintain a competitive advantage.



# Component of SWOT Analysis

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**Strengths:** Strengths are internal attributes and resources that give an organization a competitive advantage and contribute to its success. These can include aspects such as strong brand reputation, skilled workforce, unique technology, or efficient processes.

## **Examples of strengths:**

- Apple's strong brand image and loyal customer base give it a competitive edge in the technology industry.
- Toyota's renowned reputation for quality and reliability enhances its position in the automotive market.
- Google's vast resources and innovative culture enable it to develop cutting-edge products and services ahead of competitors.

# Component of SWOT Analysis

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**Weaknesses:** Weaknesses are internal factors that hinder an organization's performance or put it at a disadvantage compared to competitors. These can include areas such as limited financial resources, outdated technology, or inexperienced management.

## **Examples of weaknesses:**

- A small startup may lack the financial resources to invest in marketing and expansion efforts, limiting its growth potential.
- A company with inefficient processes and outdated technology may struggle to compete with more agile competitors.
- A restaurant with inconsistent service and quality issues may struggle to retain customers and maintain profitability.

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# Component of SWOT Analysis

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**Opportunities:** Opportunities are external factors or trends that could positively impact the organization if leveraged effectively. These can include market trends, technological advancements, or changes in regulations.

## **Examples of opportunities:**

- The growing demand for renewable energy presents opportunities for companies in the solar power industry to expand their market presence.
- The rise of e-commerce creates opportunities for traditional retailers to develop online platforms and reach a broader customer base.
- Changes in consumer preferences towards healthier food options create opportunities for food companies to introduce new product lines

# Component of SWOT Analysis

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**Threats:** Threats are external factors or challenges that could potentially harm the organization's performance or even lead to its failure. These can include competitive pressures, economic downturns, or shifts in consumer behavior.

## **Examples of threats:**

- Intense competition in the smartphone market poses a threat to smaller players who struggle to differentiate their products and compete on price.
- Economic recessions can lead to decreased consumer spending, affecting businesses across various industries, such as retail and hospitality.
- Regulatory changes and government policies can pose threats to industries such as healthcare or finance, requiring organizations to adapt to new compliance requirements.